

Interest and dividends are taxable as ordinary income except (a) income received from state, municipal, and similar obligations, which are free from Federal tax but may be subject to state tax, (b) dividends representing a return of capital, (c) certain dividends paid by investment companies (see below), and (d) the first \$100 of ordinary domestic-corporation dividends.

Rule 2—Capital Gains and Losses

Short-term capital gains and losses are merged to obtain net short-term capital gain or loss. Long-term capital gains and losses are merged to obtain the net long-term capital gain or loss. If the net short-term capital gain exceeds the net long-term capital loss, 100 per cent of such excess shall be included in income. The maximum tax thereon is 25% up to \$50,000 of such gains and 35% on the balance.

A net capital loss (the amount exceeding capital gains) is deductible from ordinary income to a maximum of \$1,000 in the current year and in each of the next five years. Alternatively, unused losses may be applied at any time to offset capital gains. (Carry-overs of losses taken before 1970 are treated more liberally than later losses.)

Note Concerning “Regulated Investment Companies”

Most investment funds (“investment companies”) take advantage of special provisions of the tax law, which enable them to be taxed substantially as partnerships. Thus if they make long-term security profits they can distribute these as “capital-gain dividends,” which are reported by their shareholders in the same way as long-term gains. These carry a lower tax rate than ordinary dividends. Alternatively, such a company may elect to pay the 25% tax for the account of its shareholders and then retain the balance of the capital gains without distributing them as capital-gain dividends.

[3. The Basics of Investment Taxation \(Updated as of 2003\)](#)

Interest and Dividends